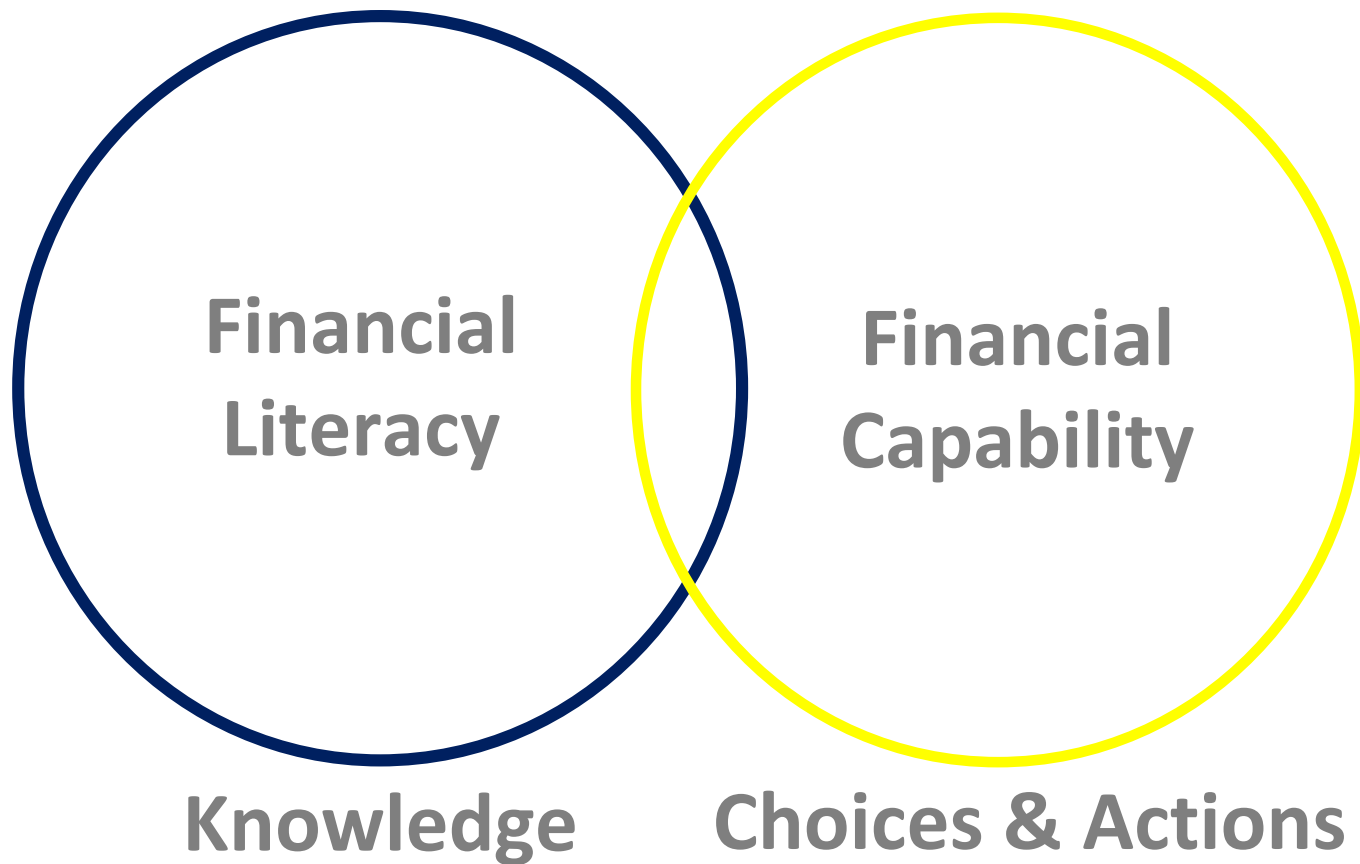




EECS 496 - Achieving Financial Fitness

Mark Munzenberger, UMCU Financial Education Manager

On the Road to Financial Wellness ...





Financial Trivia 😊



1. What credit card issuer has the most cardholders in the United States?

A. Capital One

B. Chase

C. Bank of America

D. UMCU

(150 million cardholders)



2. How has the S&P 500 stock market index performed* YTD in 2024?

A. Up 19%

B. Up 11%

C. Up 4%

D. Down 5.5%

* As of 9/16/24



3. Every time you receive a paycheck, you pay a separate tax (FICA) for Social Security and Medicare. What is that percentage?

A. 2.31%

B. 4.7%

C. 7.65%

D. 9.2%



4. A consumer misses a credit card payment, and is reported to the credit bureaus as a *30 day late*. What is the typical impact to the credit score?

- A. No change for one late payment**
- B. Score decline of 10-20 points**
- C. Score decline of 30-40 points**
- D. Score decline of 65+ points**



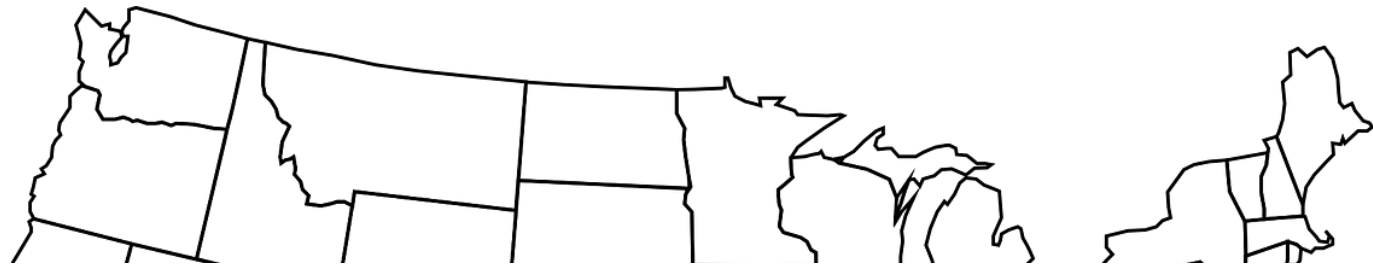
5. Credit Karma is a free App that provides credit scores updated weekly. How many points do you typically lose each time you access your own score?

A. None

B. 3-5 points

C. 7-9 points

D. 10+



What are some current financial challenges facing many households in the US?





Current Financial Landscape ...

- **Persistent Inflation**
- **Interest Rates (lending)**
- **Outstanding Student Loan Debt**
- **Cost of Child Care & Caregiving**
- **Cost of Buying a Home**
- **Understanding Investing (Stocks, Bonds, ETFs, 401ks, etc.)**
- ***Where* are you getting information?**



***“You are financially
healthy when you ...”***



Your blueprint for financial success ... the four pillars of financial health!

Understandable? Yes

***Always Easy to Execute -
No***

You are financially healthy when you...

Spend

1. Spend less than income
2. Pay bills on time and in full

Save

3. Have sufficient living expenses in liquid savings
4. Have sufficient long-term savings or assets

Borrow

5. Have a sustainable debt load
6. Have a prime credit score

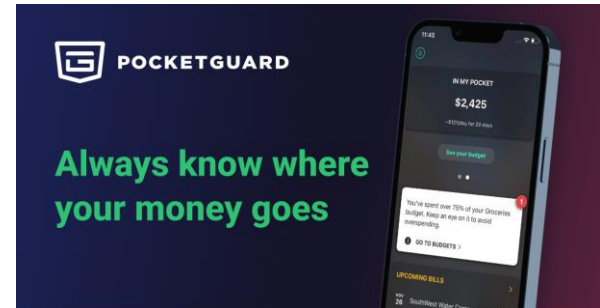
Plan

7. Have appropriate insurance
8. Plan ahead for expenses

Commit to having a plan for your money each month – consider both Spending & Savings. We need transparency.

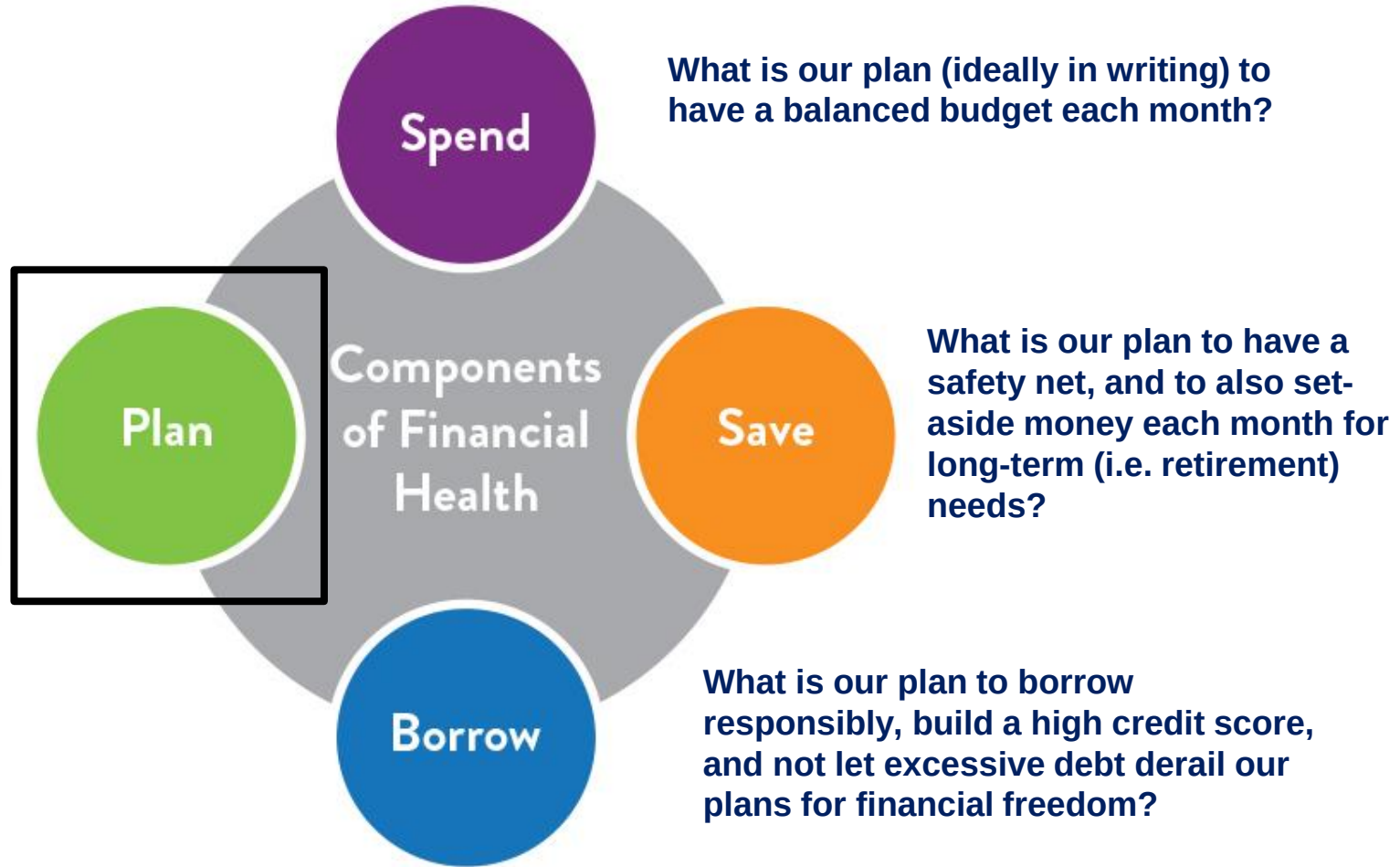


YNAB. You Need
A Budget.



What is the plan?

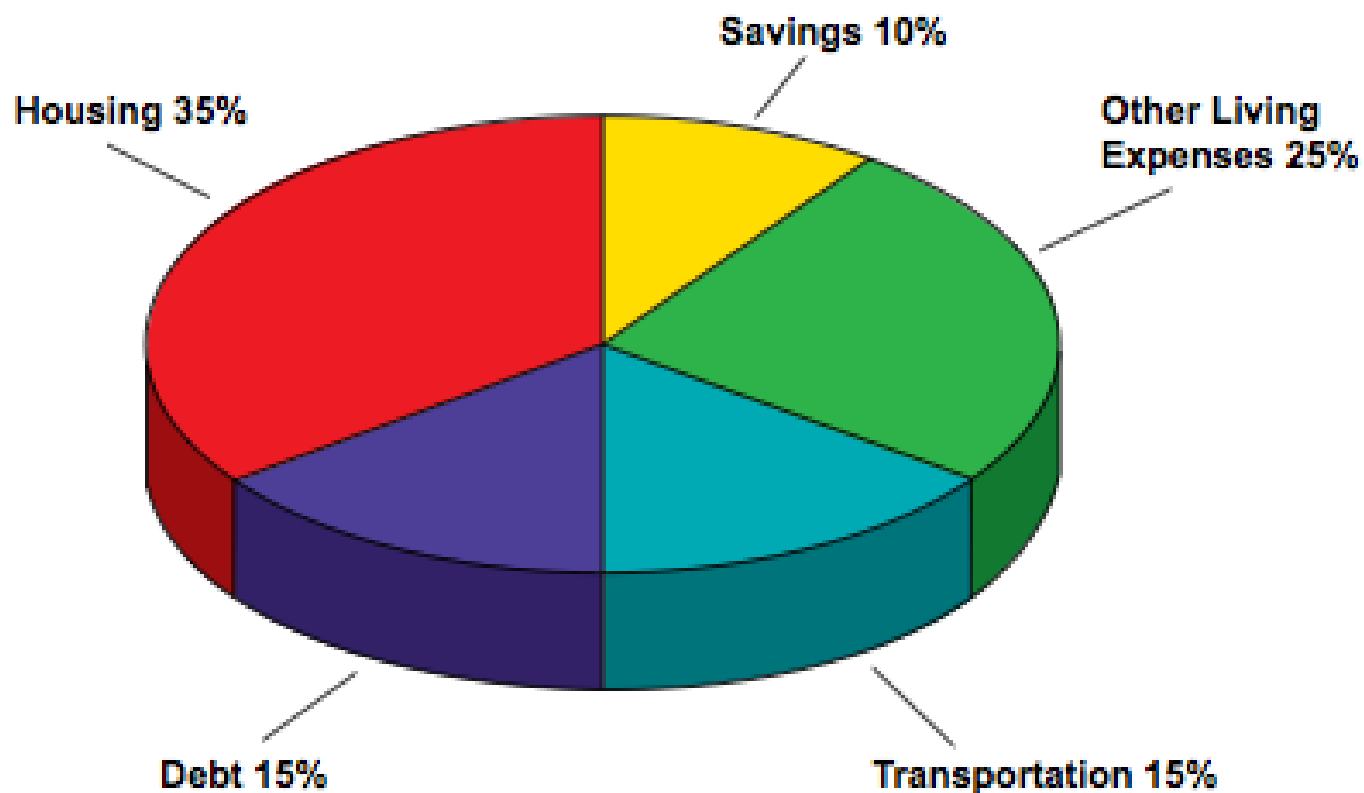






**The objective each month ...
does it balance?**

Spending Plan Pie Chart

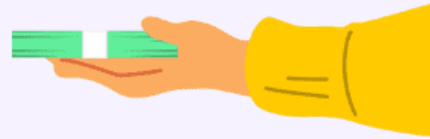


It's Pay Day! Which one do we use for our monthly budget?



GROSS PAY

Wages before taxes
and other deductions



NET PAY

Wages after taxes
and other deductions

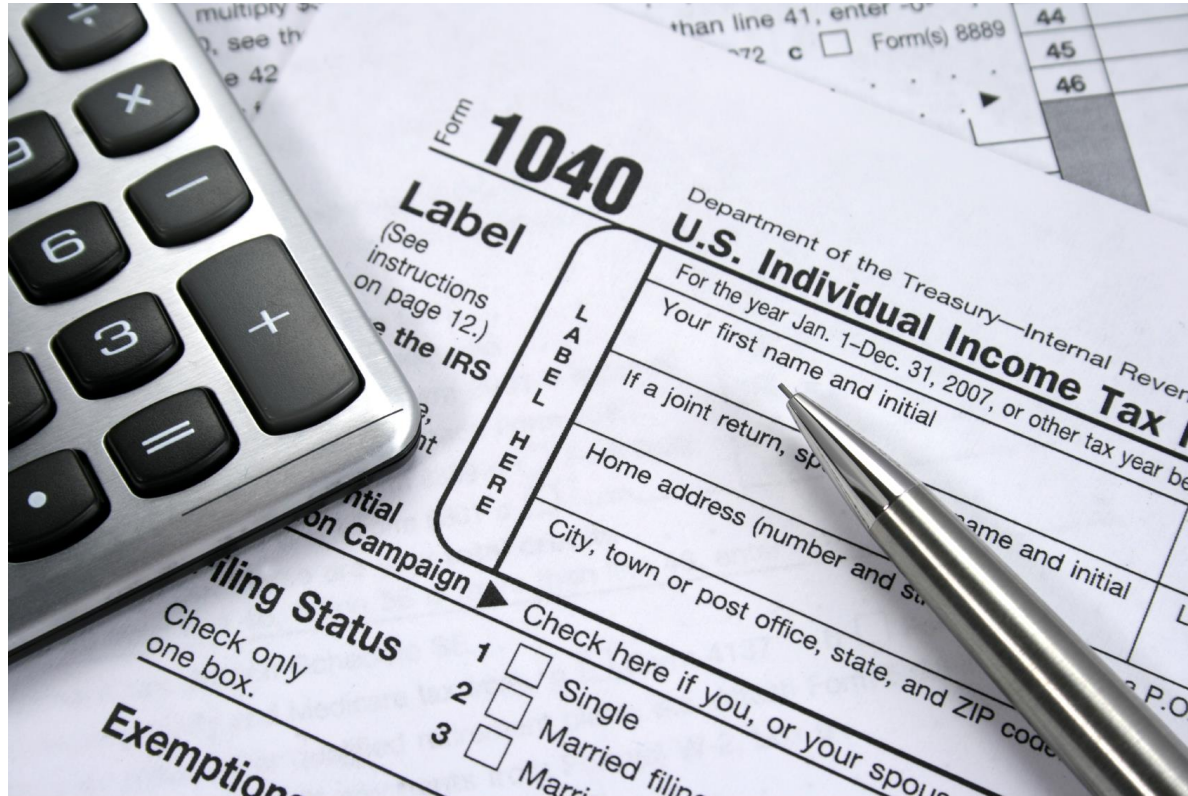
- Annual salary is **\$100,000.**
- Monthly = **\$8,333**



<i>Deductions</i>	<i>Federal Tax - \$1,250</i>	<i>FICA - \$637.47</i>
<i>State - \$354.15</i>	<i>401K – \$833.30 (10%)</i>	<i>Health Care - \$250.00</i>

Monthly Net Pay (take home) = **\$5008.08**, which is approximately 60% of Gross ... that's the figure we use for our monthly spending plan.

Taxes



Common Types of Taxes

- **Federal income taxes**
- **FICA (SS & Medicare) – 7.65%**
- **State income taxes (MI – 4.25%)**
- **Sales taxes (MI – 6%)**

Property Taxes



**Estimated annual
property taxes for
2024?**

**Ann Arbor, MI
4 bedroom, 2 bath, 1,700 SqFt
Listing price = \$510,000**

\$7,900

The United States has a progressive tax system, meaning people with higher taxable incomes pay higher federal income tax rates.

Tax brackets for income earned in 2024

Tax rate	Single filers	Married filing jointly
37%	\$609,350 or more	\$731,200 or more
35%	\$243,725 - \$609,349.99	\$487,450 - \$731,199.99
32%	\$191,950 - \$243,724.99	\$383,900 - \$487,449.99
24%	\$100,525 - \$191,949.99	\$201,050 - \$383,899.99
22%	\$47,150 - \$100,524.99	\$94,300 - \$201,049.99
12%	\$11,600 - \$47,149.99	\$23,200 - \$94,299.99
10%	\$11,599.99 or less	\$23,199.99 or less

Single Taxpayers

2024 Official Tax Brackets

If Taxable Income Is:	The Tax Due Is:
0 - \$11,600	10% of taxable income
\$11,601 - \$47,150	\$1,160 + 12% of the amount over \$11,600
\$47,151 - \$100,525	\$5,426 + 22% of the amount over \$47,150
\$100,526 - \$191,950	\$17,168.50 + 24% of the amount over \$100,525
\$191,951 - \$243,725	\$39,110.50 + 32% of the amount over \$191,950
\$243,726 - \$609,350	\$55,678.50 + 35% of the amount over \$243,725
\$609,351+	\$183,647.25 + 37% of the amount over \$609,350

Tax Refunds – How Large?

Form **W-4**

Department of the Treasury
Internal Revenue Service

Employee's Withholding Certificate

Complete Form W-4 so that your employer can withhold the correct federal income tax from your pay.

Give Form W-4 to your employer.

Your withholding is subject to review by the IRS.

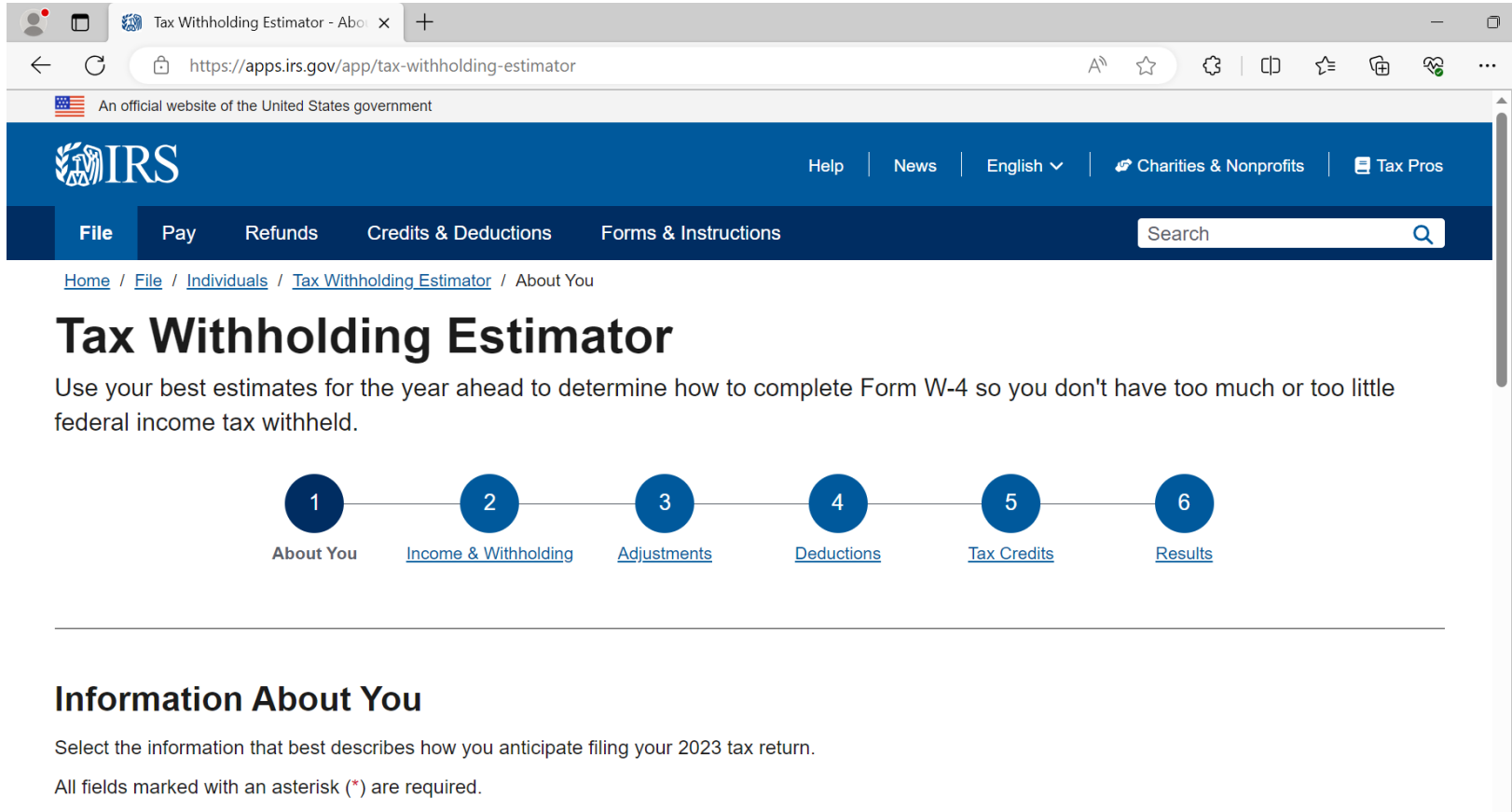
OMB No. 1545-0074

2024

Step 1: Enter Personal Information

(a) First name and middle initial	Last name	(b) Social security number
Address		Does your name match the name on your social security card? If not, to ensure you get credit for your earnings, contact SSA at 800-772-1213 or go to www.ssa.gov .
City or town, state, and ZIP code		
(c) ☐ Single or Married filing separately ☐ Married filing jointly or Qualifying surviving spouse ☐ Head of household (Check only if you're unmarried and pay more than half the costs of keeping up a home for yourself and a qualifying individual.)		

Tax Refunds – How Large?



The screenshot shows the IRS Tax Withholding Estimator website. The browser address bar displays the URL <https://apps.irs.gov/app/tax-withholding-estimator>. The website header includes the IRS logo, navigation links for Help, News, English, Charities & Nonprofits, and Tax Pros, and a search bar. The main navigation bar features links for File, Pay, Refunds, Credits & Deductions, and Forms & Instructions. The breadcrumb trail reads: Home / File / Individuals / Tax Withholding Estimator / About You. The title of the page is "Tax Withholding Estimator". Below the title, a paragraph states: "Use your best estimates for the year ahead to determine how to complete Form W-4 so you don't have too much or too little federal income tax withheld." A progress bar with six steps is shown: 1. About You, 2. Income & Withholding, 3. Adjustments, 4. Deductions, 5. Tax Credits, and 6. Results. The "About You" step is currently selected. Below the progress bar, the section "Information About You" is displayed, followed by the instruction: "Select the information that best describes how you anticipate filing your 2023 tax return." and a note: "All fields marked with an asterisk (*) are required."

Tax Withholding Estimator

Use your best estimates for the year ahead to determine how to complete Form W-4 so you don't have too much or too little federal income tax withheld.

1 About You 2 [Income & Withholding](#) 3 [Adjustments](#) 4 [Deductions](#) 5 [Tax Credits](#) 6 [Results](#)

Information About You

Select the information that best describes how you anticipate filing your 2023 tax return.

All fields marked with an asterisk (*) are required.

Tax Refunds – How Large?

The image shows a close-up of a 1040 U.S. Individual Income Tax Return form. A bright yellow sticky note is placed over the center of the form, featuring the handwritten text "Woo Hoo!!" in a large, black, cursive font, followed by "Refund" and "Coming!" in a similar font. The words "Woo Hoo!!" and "Coming!" are underlined with red lines. The form itself is partially visible, showing fields for "Your first name", "Last name", "Home address", "City, town", "Foreign", "Filing", "Check box", "Ex", "Refund", "Direct deposit?", "See instructions", "Total number of exemptions claimed", "Attach Form(s) W-2", "Attach Schedule B if required", "Do not include on line 8a", "Schedule B if required", "and local income taxes", "8b", "9b", "and, ch".

Welcome to the Workforce!



Congratulations!

- Health Care
- Dental
- Vision
- Disability Insurance
- Life Insurance
- Retirement (401k match?) / Pension Plans*
- Flexible Compensation
- Paid Time Off



Employer-Provided Benefits

Expect cost sharing for Health Care
benefits – average is 70% / 30%



Plan - BCBS HMO & Dental & Vision Mark + Family (cost = \$17,992)



\$3,700
(\$143/ck)

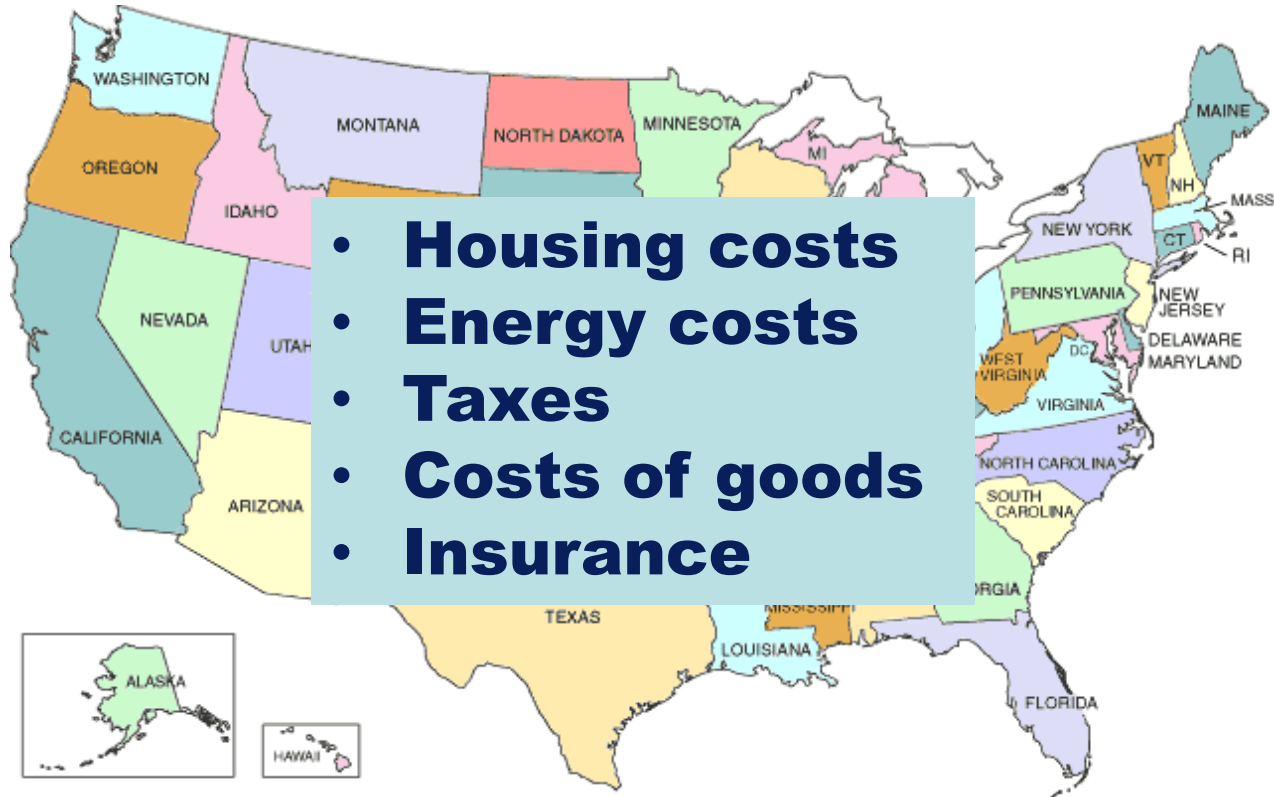


\$14,292

After graduation – where to live?



2024 CNBC Report – Cost of Living



Most affordable? Least affordable

Choices: California, Colorado, Indiana, Kansas, Kentucky, Maryland, Missouri, New York, Washington, West Virginia

Most Affordable (top 10)	Least Affordable (bottom 10)
Indiana (#6)	California (#49)
Kansas (#10)	Colorado (#41)
Kentucky (#4)	Maryland (#46)
Missouri (#8)	New York (#44)
West Virginia (#1)	Washington (#45)

It's Time for a Break 😊



As a young adult, you will begin to establish your “financial reputation” ... establishing a credit history is an important piece of this.



**Question ... what areas of our lives
does credit history impact?**



1. Manage Debt Carefully

The national average credit card interest rate for new cards is **24.92%** percent, according to LendingTree. Where are we headed in 2024? Probably a little lower, but the decreases won't be dramatic.

www.lendingtree.com, 9/10/2024



Example



Current balance = \$5,000

Interest Rate = 22%

Make *Minimum Payments of \$100 ...*

The results ...

It will take **13+ years** to pay off the balance, and you'll also pay **\$10,769** in interest ☹️

Example



Current balance = \$5,000

Interest Rate = 22%

Make a ***Higher Payment of \$200 ...***

The results ...

It will take a little less than 3 years to pay off the balance, with interest of **\$1,842.**

Retail & Student Cards



34.49%



29.99%

Credit Cards ... What are the Pros and Cons?





Pros

- **Helps young people build a credit history**
- **Convenience (buy now, pay later)**
- **Can be used for emergencies**
- **Rewards 😊 – cash back, travel miles, etc.**
- **Fraud protection**

Cons

- **High interest rates**
- **Easy to spend what you don't have**
- **Late payments will hurt the credit score**
- **Easy to obtain multiple cards, which leads to lots of bills and lots of stress**
- **Payoff durations**

yahoo!finance

FED LOWERS INTEREST RATES BY 50BPS

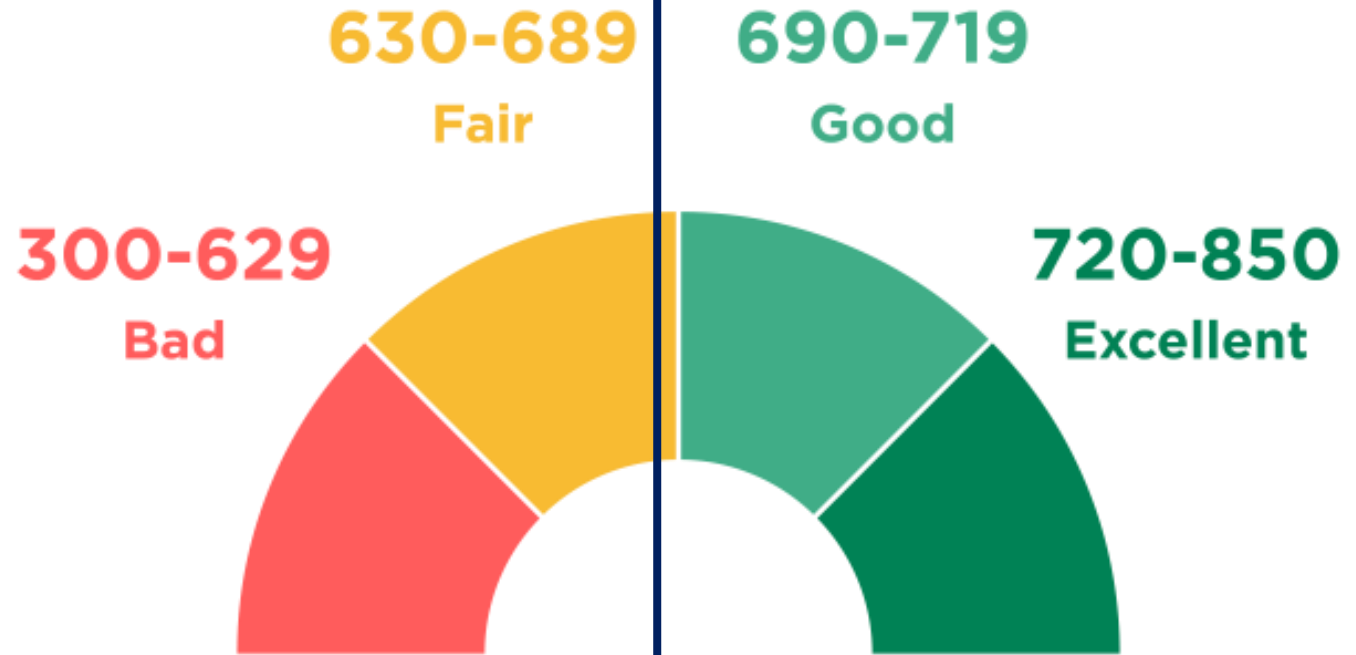
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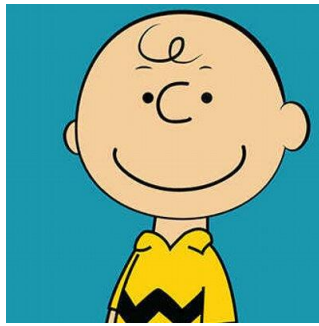


**Be Credit Healthy! A good Credit Score
can save you lots of money!**



Here is the Credit Scoring Range





**\$25,000 Auto Loan
Finance for 60 months**



Charlie

Snoopy

Credit Score = 640

Credit Score = 730

APR = 12.99%

APR = 6.74%

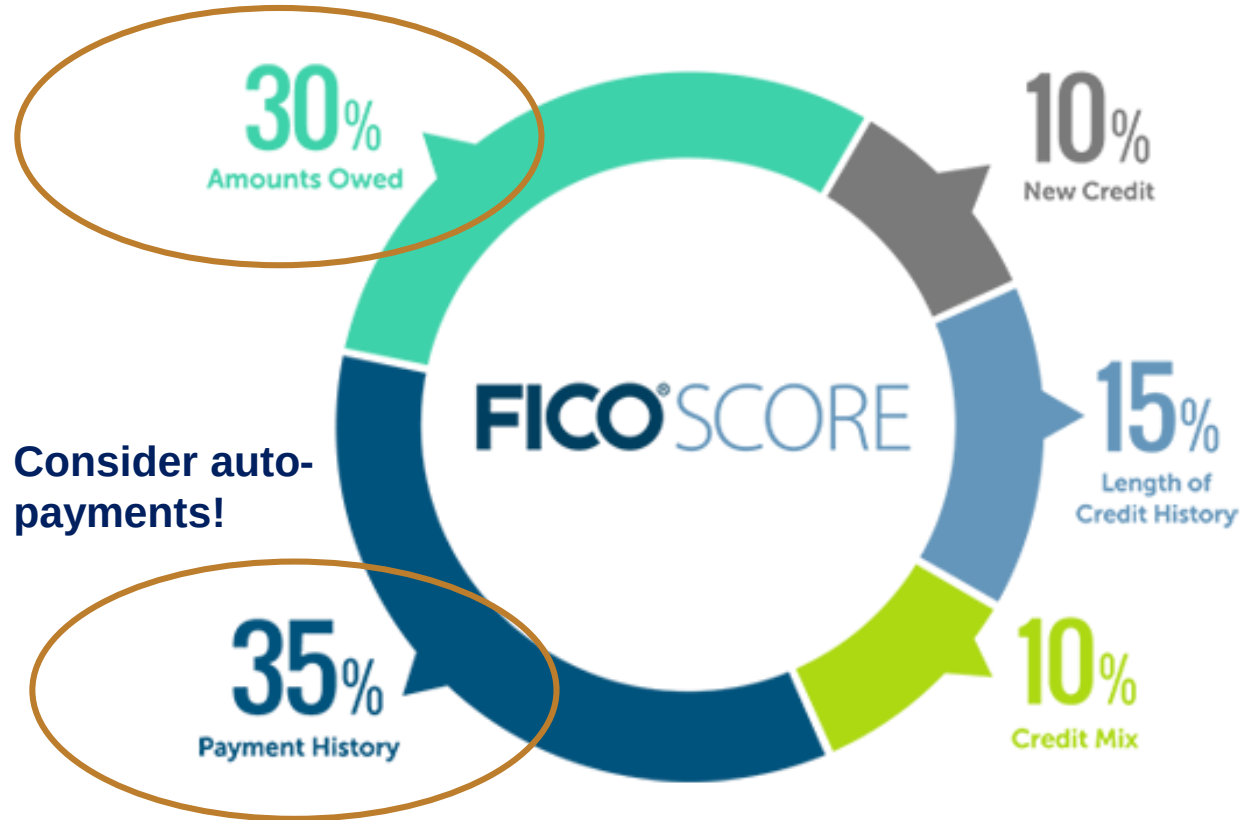
Monthly Payment = \$569

Monthly Payment = \$492

Total cost = \$34,122

Total cost = \$29,518

How do I build a good credit score?



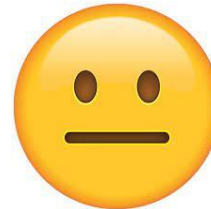


\$1,000 Credit Limit

**\$100 End of the
Month Statement
Balance**



**\$400 End of the
Month Statement
Balance**

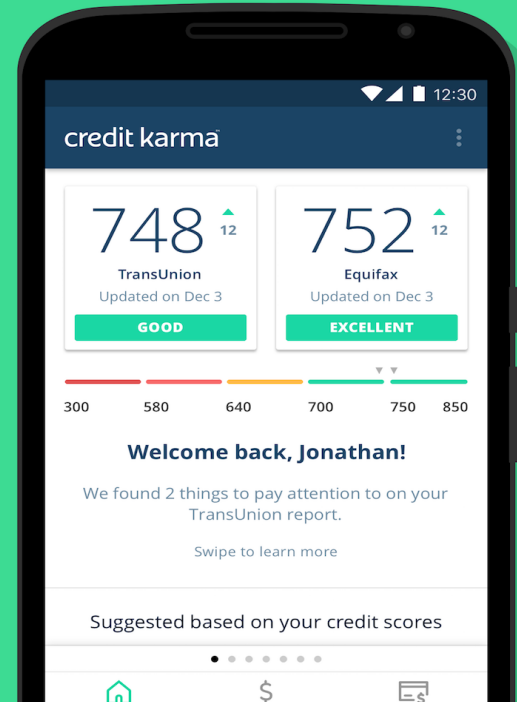


**\$800 End of the
Month Statement
Balance**



Accessing your Credit Report & Score

100% free credit scores and
full reports



✓ Credit Myths ☹️

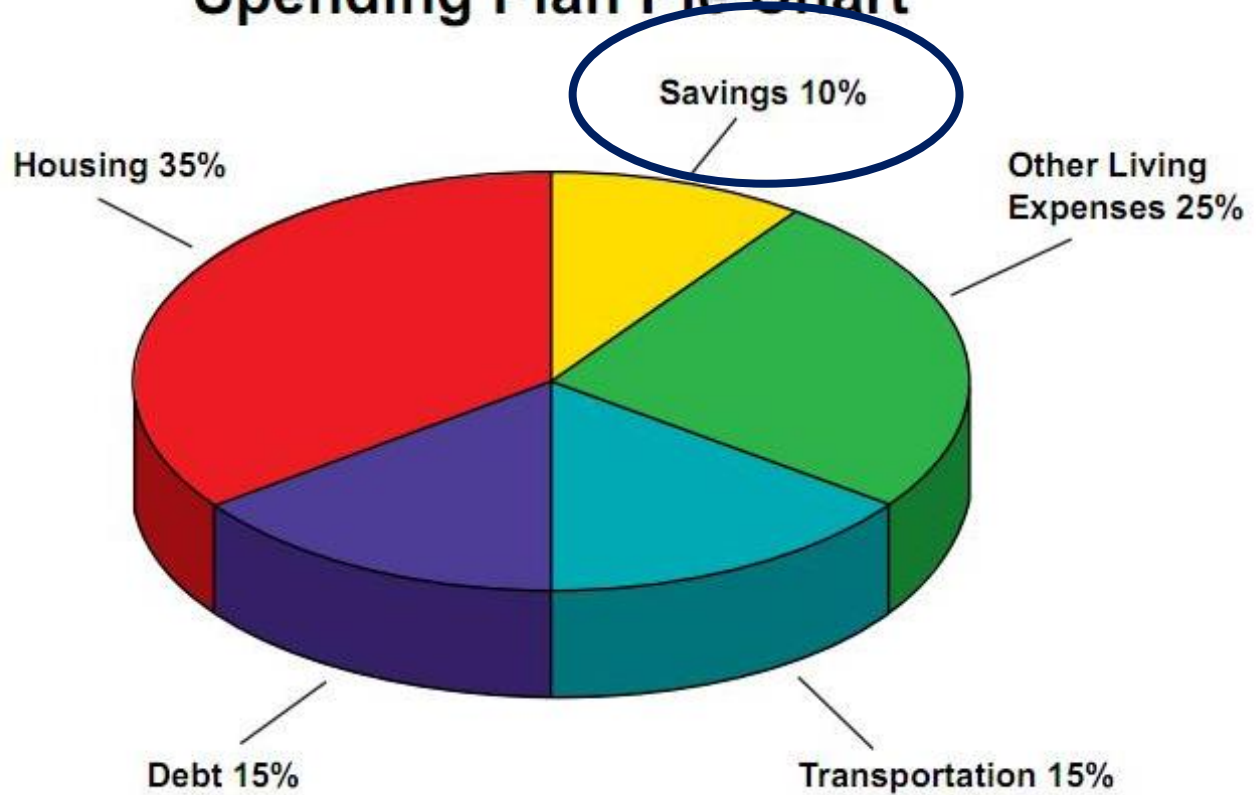
- You need to spend a lot each month to build credit
- You need 5 or 6 credit cards
- You should not pay off the balance each month
- It takes years and years to establish a good credit score



A Financial Golden Rule



Spending Plan Pie Chart





**Is savings a habit? Or an
annual event?**



**Consider savings a “bill” we
pay to ourselves**



The Three Buckets of Savings



**Emergency
Fund**
(3 months)



**Investing
(Retirement)**



Living Life

Emergency Fund



How much?	Where to keep it?	OK to use?
\$1,000. After that, goal should be three (3) months of “essential living expenses”	Ideally, in a Savings Account. Other options might be a CD or a Savings Bond.	Yes! But be disciplined to avoid using the account for “non-emergencies”.

My number one tip for Savings success ...





Suggestions

- **Set up automatic transfers from checking to savings each month**
- **If possible, split your direct deposit – 90% goes into checking, and 10% goes into savings**
- **If it helps, open a separate online Hi-yield savings account at a different FI**

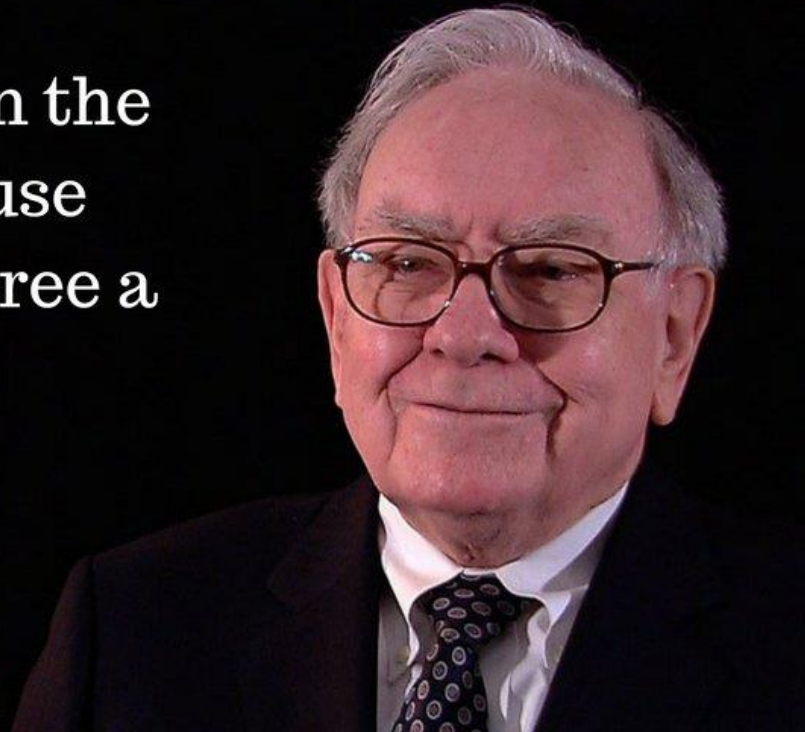
**Participate as soon as you can
in your 401k / 403b**

PERSONAL 401K PLAN			
Description	Contribution Type	Current	Year to Date
EMPLOYEE CONTRIBUTION		\$659.16	\$7,909.92
MATCHING		\$165.79	\$1,979
TOTAL CONTRIBUTION		\$825.95	\$9,911



"Someone's sitting in the
shade today because
someone planted a tree a
long time ago."

Warren Buffett



Have a great semester!

Mark Munzenberger
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